In 1742, war broke out in Europe between France and England. The war in Europe between England and France soon spread to India where the two East India Companies clashed with each other. In 1748, the general war between England and France ended. Though War had ended, the rivalry in trade and over the possessions in India continued and had to be decided one way or the other.

Dupleix, the French Governor-General at Pondicherry at this time, now evolved the strategy of using the well disciplined, modern French army to intervene in the mutual quarrels of the Indian princes and, by supporting one against the other, securing monetary, commercial or territorial favours from the victor. Thus, he planned to use the resources and armies of the local rajas, nawabs, and chiefs to serve the interests of the French Company and to expel the English from India. The only barrier to the success of this strategy could have been the refusal of Indian rulers to permit such foreign intervention. But the Indian rulers were guided not by patriotism, but by narrowminded pursuit of personal ambition and gain. They had little hesitation in inviting the foreigners to help them settle accounts with their internal rivals.

In 1748, a situation arose in the Carnatic and Hyderabad which gave full scope to Dupleix's talents for intrigue. In the Carnatic, Chanda Sahib began to conspire against Nawab Anwaruddin, while in Hyderabad the death of Asaf Jah, Nizam-ul-Mulk, was followed by civil war between his son Nasir Jang and his grandson Muzaffar Jang. Dupleix seized this opportunity and concluded a secret treaty with Chanda Sahib and Muzaffar Jang to help them with his welltrained French and Indian forces. In 1749, the three allies defeated and killed Anwaruddin in a battle at Ambur. The tetter's son, Muhammad Ali, fled to Trichinopoly. The rest of the Carnatic passed under the dominion of Chanda Sahib who rewarded the French with a grant of 80 villages around Pondicherry.

In Hyderabad too, the French were successful. Nasir Jang was killed and Muzaffar Jang became the Nizam or Viceroy of the Deccan. The new Nizam rewarded the French Company by giving it territories near Pondicherry as well as the famous town of Masulipatam. He gave a sum